Atchison

March 2025

Monthly Market Update

Illuminating
the way forward

Key Events in March 2025

Geopolitical tensions, weak demand, and inflation drove market declines and uncertainty in March 2025.

- Australian share market took a lead from the US share market and dropped -3.3% in March on fears of a global trade war and intensifying fears of recession. Recent events highlight the challenges our economy faces, namely our reliance on exports to China. Australia sends around 35% of its iron ore to China.

- The Trump administration scheduled to announce at the beginning of April a raft of new reciprocal tariffs on trading partners worldwide. The size and extent of those tariffs remained unknown, and that kind of uncertainty did zero to boost investor sentiment.

- Markets interpreted the expected new tariffs as the catalyst to crimp global economic growth and potentially reignite inflation, leading to fewer than originally expected interest rate cuts over CY 2025.

- More recent views (post March 2025) are that after the dust settles, effective tariffs on US imports could settle around 15% next year, compared to figures currently pushed out by the Trump administration, 15% doesn't seem that high, but still the highest in almost a century.

- Global market fell -5.0% in the month March led by the US S&P 500 Index down -6.2%. The tech-heavy NASDAQ benchmark was down -8.2% for the month. European markets fared slightly better, benefiting from ongoing rotation from investors seeking alternatives to the US. The STOXX Europe 600 benchmark was down -3.7%.

- The Reserve Bank of Australia (RBA) has previously noted that the enduring strength in employment was a potential roadblock to further rate cuts. In the US, the Federal Reserve maintained rates at the current level with minimal changes to the dot-plot projections. The US dollar continued to weaken against major currencies.

- The monthly CPI indicator rose +2.4% in the 12 months to February. Largest contributors to the annual movement were Food and non-alcoholic beverages (+3.1%), Alcohol and tobacco (+6.7%), and Housing (+1.8%).

- Bond yields rose slightly in March, the Australian 10-year bond rate was up 13 bps to 4.42% bps. Whilst US 10-year bond edged up 1 bps to 4.21% but was higher mid-month.

- Gold continued to hit record highs with the yellow metal topping US$3000 for the first time and closing about US$3100.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 28 February 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	-3.3	-2.8	2.7	5.5	13.1	7.0
Australian Small Companies	-4.0	-2.1	-2.6	-1.5	9.8	5.8
International Shares (Unhedged)	-4.7	-2.4	12.3	14.7	15.8	11.9
International Shares (Hedged)	-4.6	-3.4	5.9	6.5	15.0	9.2
Emerging Markets (Unhedged)	-0.5	2.1	11.8	6.3	6.7	4.7
Australian Property Securities	-2.6	1.5	-0.2	2.1	12.2	6.7
Global Property Securities (Hedged)	-3.1	0.8	5.0	-5.1	5.4	
Global Listed Infrastructure (Hedged)	2.0	4.5	15.3			
Australian Bonds	0.1	1.4	3.3	1.5	-0.6	1.6
Global Bonds (Hedged)	-0.3	1.1	3.4	-0.4	-0.9	
Cash	0.4	1.1	4.6	3.6	2.2	
Change over the month						
AUD/USD	0.01%	US$ 0.6280				

Past performance is not a reliable indicator of future performance.
Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market fell -3.3% in March, mirroring declines in the US. Defensive sectors like Utilities (+2%) and Consumer Staples (-0.7%) outperformed, reflecting their resilience in volatile conditions.

Materials (+0.2%) gained on rising gold and copper prices, helped by a rotation from banks into resources. Gold miners such as Evolution Mining and Northern Star rose on record gold prices, while Mineral Resources rebounded despite ongoing issues at its Onslow Mine.

James Hardie dropped after announcing its acquisition of US-based AZEK, with analysts concerned about the price paid and potential margin dilution.

Pro Medicus also declined as investors moved away from high-growth stocks. Small-cap performance was again led by gold miners, while ZIP weakened on US consumer concerns. Helia Group fell after CBA entered exclusive talks with a new mortgage insurance provider, threatening a key revenue source. HMC Capital also declined on worries over private credit asset quality.

Overall, valuations remain elevated, with the ASX 200 trading at approximately 19x estimated earnings, above the long-term average of 15–18x.

Global Markets

The global share market spent most of March watching and reacting to short-term events in Washington (such as policy announcements and changes), as it traded down all month, with some bounce between declines.

International equities returned -4.7% unhedged and -4.6% hedged, as investors navigated various geopolitical and economic headwinds. The US stock market was under pressure, with the S&P 500 falling -6.2%, the Nasdaq slipping by -8.2%, and the Dow Jones Industrial Average falling -4.2%.

In Europe, the London FTSE 100 dropped -2.6%, supported by a stronger-than-expected earnings season, leading to the highest close on record. The Japan Nikkei 225 dropped by -6.1% amid concerns over inflationary pressures.

Asian share markets delivered mixed performances. Chinese shares provided a positive surprise by making strong gains. Better than expected Chinese industrial production and retail spending data in the opening months of the year were encouraging despite the headwinds of a weak Chinese property sector and a 20% tariff imposed by the Trump Administration.

Bonds

There was no RBA rate announcement in March and the RBA Monetary Policy Board kept the cash rate target unchanged at 4.10% at its inaugural two-day meeting on 31 March and 1 April. Given the rise in uncertainty after the inauguration of the new Trump administration, the RBA remains more cautious about the interest rate outlook than market participants. As of 31 March, a 25bps cut in May was fully priced in by cash rate futures, with a total of 76bps cuts priced in for the rest of the year. This is more than the 59bps cuts in 2025 expected at the end of February.

Bond yields in Australia were mixed during the month with the Australian 2-year bond yield fell 5 bps to 3.68% whilst the Australian 10-year bond yield rose 9 bps to 4.38%.

The US Federal Open Market Committee (FOMC) also kept the fed funds rate target range unchanged (4.25% to 4.5%) at its meeting on 18-19 March, with its revised projections statement still pointing to two more cuts this year, even if the number of participants expecting one or no cuts had increased since the meeting in late January. The markets expect three rate cuts from the FOMC this year, which was only partially priced in a month ago.

Bond yields rose slightly in March. The US 10-year bond edged up 1 bps to 4.21% but was higher mid-month. In Australia, the 10-year bond rate was up 13 bps to 4.42% bps. In Australia, the key economic data was the release of February CPI numbers that came in broadly in line with market expectations.

US investment-grade corporates, particularly in the long-end, underperformed Treasuries during the month as volatility and market uncertainty continued to impact relative excess returns. In March, investment-grade spreads widened 7bps to 94bps after peaking at 97bps mid-month – the widest level since September – as yields rose by 7bps to 5.15%.

In March the Bank of Canada cut rates by 0.25% to 2.75% whilst the European Central Bank cut its deposit facility rate by 0.25% to 2.5% as disinflation continued in the European region.

Currencies

The Australian Dollar (AUD) appreciated slightly (+0.1%) against the weaker greenback and Japanese yen in March but saw significant depreciation versus the euro and British pound. In fact, the AUD was one of the weakest of G10 currencies this month, surpassed only by currencies of Canada and Japan, which are expected to be strongly affected by the US tariff policies.

The AUD/USD movements this month were again shaped to a large degree by global factors, mostly US tariff announcements from the Trump administration and the first pieces of evidence that the protectionist policies are gradually translating into weaker economic data. These concerns were behind outflows from US equities, which in turn affected the US dollar, pushing the AUD/USD cross higher.

The US dollar has also had its worst month in more than two years, having dropped by 3.5% against a basket of other currencies during March.

The AUD/USD appreciated +0.01% over the month to 62.80 cents.

Outlook for Investment Markets

Should I sell my ASX 200 shares?

Every investor's situation is obviously unique.

But in general, with the ASX 200 now down -9.9% (COB 10.04.2025) from its all-time closing high posted on 14 February, investors would do well to take a deep breath and ride out the storm.

Selling after a sizeable retrace is likely to lock in those losses. And with history as our guide, we can be confident that the ASX 200 will again reset new record highs in future days.

Indeed, some companies will have been sold off for no reason other than investor angst, which could provide some excellent buying opportunities.

On trying days, investors would do well to recall the following investment advice from billionaire Warren Buffett.

"Embrace what's boring, think long-term, and ignore the ups and downs," Buffett famously advised.

The Australian market continues to be dominated by geo-political themes and Trump policy concerns. The upcoming Australian election will also prolong uncertainty. Although valuations have retreated slightly due to falling share prices, the Australian market remains fully valued at current prices. However, there are many stocks that appear to have been oversold, creating opportunities for investors.

Global share prices have made very strong gains in the past two years of 2023 and 2024. The enthusiasm for AI and technology have been the key factors supporting global rising share prices. However, in this current unpredictable investment environment investors may consider shifting portions of their allocations from cash or traditional fixed interest into strategies that target some capital appreciation plus income.

Alternative asset classes such as private credit, infrastructure and real estate can potentially offer yields that are higher than many public market equivalents.

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